

Brazil macro: the market paid for the first round. Will it keep paying?

Research brief · thesis dated 6 October 2026 · Brazil · interest rates · the real · commodities

MY CURRENT VIEW · NO POSITION

Brazil's markets priced in Flávio Bolsonaro's first-round lead within a single day. I am not chasing it: I would only act after the 25 October runoff, and only if the real holds its gains.

1. The biggest first-day reaction in seven elections. The dollar fell 4.55% against the real in one session, more than after the first rounds of 2014, 2018 or 2022 (2.9%–3.8%), and interest rates fell even more than the currency. The surprise: the final polls had Lula ahead, but Flávio finished first with 47.1% of valid votes to 45.0%.

2. Rallies like this were partly reversed before. In 2014 and 2022 the real gave back 85% and 70% of its first-day gain before the runoff; in 2018 it kept rising. After each runoff the path differed again: the vote itself, not the first day, set the level.

3. Little good news is left to buy. The real is at 4.9856, only 1.7% from the 4.90 that JPMorgan sees if fiscal signals turn out favourable. Buying after a move this size means paying for most of it.

What I would do

Nothing before the runoff. From 26 October I would open a paper trade (hypothetical: no money, no execution) buying the real, but only if the dollar closes below 5.10 reals on two days in a row and the U.S. two-year yield is at or below 5.00%. That would show the rally survived the vote. Because the real is already near 4.9856, I would treat it as a prompt to review, not a green light.

What would change my mind

A close above 5.30 before any entry, a Brazilian two-year rate above 14%, or a U.S. two-year yield above 5.10%. Each would mean risk is rising, not falling.

Key figures at the thesis date · 6 October 2026

Selic target
13.75%

16 Sep 2026 · BCB

Fed target range
3.75–4.00%

16 Sep 2026 · Fed

Brazil–U.S. rate gap
9.88 pp

2 Oct 2026 · BCB / Fed

USD/BRL (PTAX)
4.9856

5 Oct 2026 · BCB

U.S. 2-year yield
4.84%

5 Oct 2026 · U.S. Treasury

Brent crude (spot)
\$113.96

29 Sep 2026 · EIA / FRED

Track record: a one-day-old call, checked

On 5 October, before markets reopened, I published a first version of this view: wait for the runoff and do not pay for the first day's rally. One session later, here is what held and what I got wrong. No position was ever opened, so there is no performance to report, only reasoning to check.

WHAT I SAID	WHAT HAPPENED	VERDICT
Do not pay for the first rally: no entry before 26 October, because a single session can jump past every level.	The dollar fell 4.55% to 4.9856 on the first day, through my entry level (5.10) and into my review zone (4.94–5.00). The rule's start date stopped it triggering on that move, as intended.	Confirmed

WHAT I SAID	WHAT HAPPENED	VERDICT
A first-day move of about 3.3%, the average of the 2014, 2018 and 2022 elections.	It was 4.55%, the largest of the seven elections since 2002. I had judged the size from only three elections, so I underestimated it.	Underestimated
Brazil's two-year interest rate carries a 1.46 pp risk premium over the economists' own forecast path, and the runoff would test it.	The premium fell to +0.35 pp in one session (one year: -0.31 pp). It compressed straight after the first round, earlier than I expected, and the economists' survey still predates the vote.	Partly
The U.S. two-year yield stays at or below 5.00%.	4.83% → 4.84%. The condition held.	Confirmed

What I took from it. My levels are unchanged: a rule adjusted after seeing the outcome is not a rule. What changed is how I read them. The entry level used to ask whether the market would pay for fiscal credibility; after a move this size it asks whether the market keeps what it has already paid.

Rates, FX and quant: what the first day tells us

The interest-rate curve moved more than the currency. Short-term rates barely moved, because the central bank's Selic rate (13.75%) anchors them. But the further out you look, the bigger the fall: 33 basis points (bp; 1 bp is 0.01 percentage points) at six months, 111 bp at two years and 137 bp at five. Against the economists' own forecast for the Selic, the market is now -0.31 pp at one year but still 1.01 pp higher in the second year (the rate implied for year two: 12.52% against 11.51%): it expects cuts sooner, but not as deep. About 61% of the two-year fall is lower expected inflation (5.91% → 5.27%); the rest is a lower real rate (7.37% → 6.97%). The economists' survey dates from before the vote, so part of the gap will close when they update.

MATURITY	2 OCT	5 OCT	CHANGE
6 months	13.31%	12.98%	-33 bp
1 year	13.38%	12.68%	-70 bp
2 years	13.71%	12.60%	-111 bp
3 years	13.98%	12.71%	-127 bp
5 years	14.26%	12.89%	-137 bp
10 years	14.36%	13.00%	-136 bp
1y1y forward	14.04%	12.52%	-152 bp
Implied inflation, 2 years	5.91%	5.27%	-64 bp
Real rate, 2 years	7.37%	6.97%	-40 bp

Seven elections: how first-day rallies played out. I measured the first trading day after each first round since 2002 against the normal volatility of the 20 days before it. Only 2014, 2018 and 2022 were true surprises (more than twice normal volatility), and 5 October 2026 (4.55%, 8.1 σ) is larger than all three. In 2014 and 2022 the real gave back most of the gain before the runoff; in 2018 it kept going. After the runoff the paths split again, from a full reversal in 2014 to a further rally in 2018. Three cases are a base rate, not proof.

YEAR	FIRST-DAY MOVE	SIZE, IN Σ	REVERSED BY THE FRIDAY BEFORE THE RUNOFF	REVERSED AT THE FIRST CLOSE AFTER THE RUNOFF	FIRST SESSION AFTER THE RUNOFF
2002	+1.02%	+0.5	below 2 σ	below 2 σ	-1.60%
2006	-0.55%	-0.9	below 2 σ	below 2 σ	+0.36%
2010	+0.42%	+1.3	below 2 σ	below 2 σ	+0.18%
2014	-3.35%	-6.3	85%	149%	+2.16%
2018	-2.87%	-2.5	-75%	-110%	-1.05%
2022	-3.82%	-4.2	70%	28%	-1.65%
2026	-4.55%	-8.1	pending	pending	pending

A reversal of 100% means the real is back at its pre-vote level; a negative number means the move was extended. It is only defined for surprise-sized first days (above 2 σ : 2014, 2018, 2022). σ is the standard deviation of the 20 daily log returns before the vote. The 2026 runoff is still ahead.

How demanding is my own rule? The levels in my paper trade were set on 2 October, for a real at 5.2235. After the fall to 4.9856 they mean something different. I express each one as the share of the 5 October rally that would have to reverse, and compare it with a coin-flip model: a random walk starting from today's rate.

LEVEL	RULE	SHARE OF THE RALLY REVERSED	DISTANCE FROM TODAY'S RATE	RANDOM WALK ON 26 OCTOBER, PRE-VOTE VOLATILITY	RANDOM WALK, LONG-RUN VOLATILITY
5.10	Entry · Two closes below, from 26 October	48%	+2.3%	82% · closes below	74% · closes below
5.22	Exit · Two closes above, once in	99%	+4.7%	3% · closes above	10% · closes above
5.30	Drop the idea · One close above, before entry	132%	+6.3%	1% · closes above	4% · closes above

Benchmark. A random walk from 4.9856 with the pre-vote volatility (9.1% a year) and a runoff-day shock taken from past runoffs (1.4% typical size) would close below 5.10 on 26 October in about 82% of cases, and in about 74% with long-run volatility (14.4%). At the first close after the runoff, the three surprise years kept more than half of the first-day gain in two cases out of three (2018 and 2022). So the entry rule is no longer selective: a trigger tells me little, and a miss tells me the real has given back more than 48% of its rally.

Volatility. Realised volatility over the last 20 sessions is 18.8% a year, but 72% of the variance is the single jump on 5 October. A jump-robust estimate (bipower variation) gives 10.0%; the long-run level since 2003 is 14.4%. I use 9.1%, the 20 sessions before the vote, for normal day-to-day moves and treat the jump separately.

Carry. The interest-rate gap between the Selic and the Fed earns about 0.76% a month (9.5% a year) through forward contracts, not through the spot rate. Against 9.1% volatility that is a carry-to-volatility ratio of 1.0; against long-run volatility, 0.7.

If it triggers. If the rule triggers near today's level, the position starts inside my own review zone, because the levels come from the 20 sessions to 2 October (5.0853–5.2235). I keep them unchanged and treat a trigger as a prompt to review. The distance to JPMorgan's favourable case (4.90) is 1.7%; to my exit level, 4.7% the other way.

Commodities: Brazil sells in dollars, and the real sets the price in reais

Oil, soybeans and iron ore make up 34% of Brazil's goods exports; with coffee, sugar and maize, the six prices I can track cover 44% (UN Comtrade, 2025). Two questions: how much of the real's movement do commodity prices explain, and what does a 4.55% fall in the dollar do to what a Brazilian producer actually earns?

Do commodity prices drive the real? Since 2005, monthly changes in a basket of Brazil's six main commodities (weighted by export value, 258 months from Jan 2005 to Jul 2026) explain 28% of the monthly changes in USD/BRL. A 10% rise in the basket has gone with a real about 4.0% stronger, and the link holds in both halves of the sample (34% in 2005–2014, 24% in 2015–2026). The other 72% comes from interest rates, fiscal risk and politics, and that is what moved on 5 October: the dollar fell 4.55% even though Brent fell 1.9%.

BENCHMARK	SHARE OF EXPORTS	VOLATILITY, DOLLARS	VOLATILITY, REAIS	CORRELATION WITH USD/BRL	IN DOLLARS	IN REAIS
Oil (Brent)	12.8%	32%	29%	−0.43	+20.4%	+11.3%
Soybeans	12.5%	20%	19%	−0.37	+18.1%	+9.2%
Iron ore	8.3%	32%	32%	−0.21	+0.4%	−7.2%
Coffee (arabica)	4.3%	21%	22%	−0.23	+13.4%	+4.9%
Sugar	4.0%	26%	24%	−0.37	−9.5%	−16.3%
Maize	2.5%	22%	22%	−0.28	+10.8%	+2.5%

Volatility is annualised from monthly log changes, 2005 to July 2026; the correlation is with monthly changes in USD/BRL. Twelve-month change of each benchmark, in dollars and in reais (Jul 2025 to Jul 2026).

Spot and futures disagree. The EIA's spot price for Brent was \$113.96 on 29 September, against a peak of \$130.80 on 15 September. In September, spot ran well above the futures price (about \$132 against \$109 at their peaks) because disrupted supply left buyers short of physical barrels. I read spot as a gauge of physical tightness, not as the price a hedger faces.

Why Brazil cares. Crude is Brazil's largest export (12.8% of 2025 goods exports), so the oil price supports the external accounts and the real. It also feeds inflation (economists expect 5.0% for 2026, above the 4.5% ceiling of the target band) and keeps the central bank cautious. A reopening of the Strait of Hormuz would remove both

supports at once.

The paper trade and its rules

No position open · earliest entry 26 October

What it is	A hypothetical bet that the real strengthens against the U.S. dollar (short USD/BRL), tracked with the central bank's official daily rate (PTAX).
The idea	If the election lowers Brazil's fiscal risk, the real should strengthen and stay stronger, because investors also collect a large interest-rate advantage while they wait.
Already in the price	On 5 October the real reached 4.9856 and the two-year rate 12.60%. That rate is now +0.35 pp from the economists' forecast path, and JPMorgan's favourable case (4.90) is only 1.7% below today's rate.
Key dates	Runoff 25 October; Fed decision 28 October; Brazil's central bank (Copom) 4 November.
Entry	From 26 October, the first rate published after the runoff: two daily closes in a row below 5.10, with the U.S. two-year yield at or below 5.00%. Earlier closes, including the 5 October rally, do not count.
Drop the idea (before entry)	Any close above 5.30, higher than anything in the past four months (peak 5.2235 on 2 October). The idea is dropped, not reversed.
Exit (after entry)	Two closes in a row above 5.22 (the top of the pre-vote range), or a U.S. two-year yield above 5.10%.
Review	Around 4.94–5.00 (the pre-vote low minus the width of that range), or 4 November at the latest. A reason to reassess, not a target.
Where it stands	The real is at 4.9856, 2.3% below the entry level, so the price condition is already met and only the start date holds the rule back. The levels were set on 2 October from the 20 trading days before the vote, and I have deliberately not adjusted them: a rule changed after seeing the outcome is not a rule.

Main risks. (1) The winner's fiscal plan is read as negative, whoever wins. (2) I buy after the move: most of the good news is already in the price, and long-real positioning was already high. (3) U.S. yields keep rising and pull money out of emerging markets, or oil falls sharply as Hormuz reopens, leaving less export income and room for faster Copom cuts.

What could happen before and after 25 October

A. The rally holds

Signals: The dollar stays below 5.10 reals through 25 October (less than 48% of the 5 October rally reversed); the two-year rate stays near 12.60%; the winner shows a credible fiscal plan.

What it would mean: The market keeps paying for fiscal credibility, but little is left to buy: I would be entering near my own review zone.

What I would do: **The rule can trigger from 26 October if the U.S. two-year yield is at or below 5.00%. I treat that as a review, not a green light.**

B. The rally fades

Signals: The dollar climbs back above 5.10 reals (more than 48% of the rally reversed) before the vote or on 26 October; polls tighten.

What it would mean: The market doubts the first-round signal, as it did before the 2014 and 2022 runoffs.

What I would do: **No position. Wait for the next confirmation.**

C. The risk premium returns

Signals: A close above 5.30 (132% of the rally reversed); the two-year rate rises above 14%; inflation expectations climb back toward 5.91%.

What it would mean: Fiscal worries dominate again; a weaker real plus expensive oil could make the central bank pause its cuts.

What I would do: **Drop the idea. A dollar trade would need new rules.**

D. Outside shock: U.S. rates or oil

Signals: The U.S. two-year yield rises above 5.10%, or Brent falls sharply as Hormuz reopens.

What it would mean: Emerging-market currencies tend to weaken together; cheaper oil removes a support.

What I would do: **No long-real position; exit if already in one.**

Dates that matter. 25 Oct: Presidential runoff · 28 Oct: Fed decision · 4 Nov: Copom decision · 9 Dec: Fed and Copom decisions

Limits

PTAX is a reference rate, not a tradable price; costs, spreads and position size are not modelled. ANBIMA's curve is saved at 2 and 5 October for this thesis and does not refresh; ANBIMA keeps only the most recent weeks online. Market-close figures for 5 October (Ibovespa, DI futures, spot dollar, Brent, Petrobras) are press-reported from the live session. The count of the first round was 99.5% complete, so shares may still move. Focus is a survey and its latest edition predates the vote; the market-vs-economists gap mixes expectations and risk premium. No probabilities are assigned. The rules are not back-tested, and the first-round study has three surprise-sized cases. AI tools helped write code, draft research text and translate. The rules and the final judgement are mine, and every figure links to its source.

Sources

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The full evidence list, data status and calculations are on the website: brasilmacro.streamlit.app/?lang=en · github.com/Midiansi/brazil-rates-fx-scenario-monitor

Educational research, not investment advice. No real positions and no claimed performance. Thesis dated 6 October 2026; each figure shows its own date.